

The Complete Financial Guide for Young Couples

A fixed-rate mortgage generally starts out at a higher interest rate, but cannot be adjusted. Choose the type loan that suits your needs best for the shortest time period that your budget will allow. A 15-year loan only requires about 15 percent additional payment each month and will cut the total payment time in half. The shorter loan period usually has less initial closing costs also. However, even if you select a 30-year loan, it doesn't mean that you must pay for 30 years. If you had a \$125,000 mortgage at 10 percent financed for 30 years, the total interest and principal would be \$236,940. If you were able to pay an extra \$100 a month on the principal, you would reduce the payment period to 17 years and the total principal and interest to \$159,215. Thus, you would save \$77,725 in interest.

Be certain that whatever mortgage you sign allows for prepayment of principal. Otherwise, your additional payment would only prepay the succeeding months' payments which include interest as well as principal. Also, it is a good idea to write a separate check for the principal payment and mark it clearly "for payment of principal only."

Don't forget the loan origination costs for a \$50,000 mortgage can often run as much as \$2,000-\$3,000 with discount points, title insurance, attorney's fees, and so on. Be certain when buying a first home that you ask about ALL costs prior to closing, or you may find yourself using all your surplus on incidental fees and then living off of credit cards for a month.

CATEGORY 2: AUTOMOBILES

The second largest budget category in most families is "Automobiles." This category should take about 15 percent of your net spendable income, including payments, maintenance, gasoline, tags, and insurance—everything that goes into the car. For the average young couple, that means no new cars, no matter what. It doesn't matter if Mom or Dad provides the down payment. The average-income family cannot afford to make the payments on a new car.

Just as a home is very important to most women, a car is